GOVERNMENT OF INDIA
MINISTRY OF FINANCE
INCOME TAX DEPARTMENT
OFFICE OF THE COMMISSIONER OF INCOME TAX (APPEALS)-2
PUNE

Appeal No.	:	CIT(A)-2/Pune/10999/2021-22
Name of the appellant	:	Udaharan Builders and Developers
Address	:	4, Specimen Chambers, Model Colony, Pune - 411 000 (fictitious)
PAN	:	AAEFU1234D
Assessment Year	:	2019-20
Section under which the order appealed against was passed	:	143(3) r.w.s. 144B
Order appealed against passed by	:	DCIT, Circle 9, Pune, dated 27/12/2021
Date of order	:	09/10/2026

ORDER UNDER SECTION 250 OF THE INCOME-TAX ACT, 1961

1. This appeal is filed against the order passed u/s 143(3) r.w.s. 144B of the Income-tax Act, 1961 ('the Act') dated 27.12.2021 for A.Y. 2019-20, wherein the total income was assessed at Rs.43,55,000/- as against the returned income of Rs.26,30,000/-, and a demand of Rs.6,12,480/- was raised.

Grounds of Appeal

1. On the facts and in the circumstances of the case, the order of the AO is bad in law.
2. The AO erred in making an addition of Rs.9,40,000/- u/s 69 as unexplained investment in a plot of land.
3. The AO erred in disallowing Rs.2,75,000/- u/s 40A(2)(b) out of the labour charges paid to relatives.
4. The AO erred in adding Rs.5,10,000/- u/s 56(2)(x) without referring the valuation to the Valuation Officer.
5. The AO erred in charging interest u/s 234A and 234B of the Act.
6. The appellant craves leave to add, alter or amend any ground of appeal.

Statement of facts

2. The appellant is a firm engaged in the construction of residential buildings. In the assessment, the AO made an addition of Rs.9,40,000/- u/s 69, disallowed Rs.2,75,000/- u/s 40A(2)(b) and added Rs.5,10,000/- u/s 56(2)(x).

Submissions of the appellant

3. The appellant filed written submissions dated 18.08.2026, which are summarised below.

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3.1 On the addition u/s 69, the appellant submitted that the cash paid for the plot was withdrawn from its bank account a week earlier.

3.2 On the disallowance u/s 40A(2)(b), the appellant contended that the rates paid to the relatives were the rates paid to other labour contractors.

Decision

4. I have carefully considered the grounds of appeal, the assessment order and the written submissions of the appellant.

4.1 The appellant has not pressed ground no. 1, which is general in nature.

4.2 Coming to the addition of Rs.9,40,000/- u/s 69, the AO found that the appellant paid cash for the purchase of a plot and did not explain the source of the payment.

4.3 The bank statement shows cash withdrawals of a matching amount a week before the payment, and there is no evidence that the cash was used elsewhere.

4.4 I find that the source of the investment stands explained. The addition of Rs.9,40,000/- made u/s 69 is deleted.

4.5 As regards the payments to relatives, the AO disallowed Rs.2,75,000/- u/s 40A(2)(b) holding that the rates paid were higher than the market rate.

4.6 The appellant has not produced the rates of other contractors, but the AO has also not brought any comparable rate on record. Considering the facts, the disallowance is restricted to Rs.1,00,000/-.

4.7 On the property purchased below the stamp duty value, the difference of Rs.5,10,000/- was taxed u/s 56(2)(x). The appellant had asked for a reference to the Valuation Officer, which the AO did not make. The issue is set aside to the file of the AO for fresh adjudication after obtaining the report of the Valuation Officer.

4.8 The charging of interest u/s 234B is consequential.

5. In the result, the appeal is partly allowed.

Sd/-
(E. F. Udaharan)
Commissioner of Income Tax (Appeals)-2
Pune

Copy to:

1. The appellant
2. The Pr. CIT, Pune-2 (fictitious)
3. Guard file

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